

TABLE 8.2 Annualised carry

Expiry	Price	Open interest	Days	Percent difference	Annualised carry (%)
14 March 2019	907.50	295,414	0	0.00	0.00
14 May 2019	921.50	206,154	61	-1.52	-8.75
12 July 2019	935.00	162,734	120	-2.94	-8.68
14 August 2019	940.25	14,972	153	-3.48	-8.11
13 September 2019	943.50	7,429	183	-3.82	-7.47
14 November 2019	952.00	75,413	245	-4.67	-6.88
14 January 2020	961.50	7,097	306	-5.62	-6.66

have sufficient liquidity to consider. This logic forms the basis of what our next trading model will do.

It's worth noting that we have only used a snapshot of current data to arrive at this curve. No time series have been used of any kind, merely the current price of a range of contracts.

■ Using Term Structure for Trading

As a demonstration of just how powerful term structure can be as an analytic, I will construct a very simple model to isolate the phenomenon. This is perhaps the most overlooked and underused analytic in the futures space, and if you really want to improve your futures trading, this is one area which you really should study. What I will show you in this chapter is akin to a teaser, scraping the surface of what can be done. As always, remember that any trading rules that I show you are purposely simplified to make a specific point. What I try to show is that even simple rules can get the job done. After that, it's up to you to try variations and fine-tune the details.

So having said that, here are the simple rules that we'll use for this particular demonstration:

- Trading only once per week.
- Broad investment universe, across all asset classes.
- Once a week, for each asset class, we calculate the annualised carry, or implied yield if you want, for each point in the curve.